Case Study Details: ESG

This packet includes the following information:

- Part 1: Market Overview, Vibrant (Our Company) Overview, Opportunity Overview
- Part 2: Customer Details: Essential Specialty Gear (ESG)
- Part 3: Call Notes

You will be directed in the course how to use this case study. Additional information regarding the opportunity will be given to you throughout the course.

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PART 1

Market Overview

Many public sector organizations rely heavily on technology and communication equipment and systems to meet environmental, health, emergency, and public safety needs. These government organizations rely on these suppliers who can quickly respond to surge demands such as emergencies, natural disasters, and other public and government needs as they arise. They depend heavily on technology solutions of all kinds for tracking and monitoring of logistics, inventory, supply chain, and various end user needs. Various specialty outdoor clothing and gear, similar to what is used by high adventure and outdoor enthusiasts, are also in high demand at these organizations.

Corporate or government purchasers of specialty equipment and gear generally rely on competitive acquisitions with specific terms, conditions, and requirements for supplies and outdoor gear. Some purchase specialty gear and supplies through government-wide acquisition vehicles while most of this specialty equipment and gear is purchased through competitive procurements requiring formal processes. Occasionally, for commoditized items, buying organizations leverage government auction sites for high quantity purchases.

Government organizations who support these critical response teams and disaster events often require streamlined acquisition methods. There is a push to look at new methods of acquisition of products through additional vehicles and acquisition methods at state, local, and Federal Government levels. Some of these organizations have also expanded their reach to provide essential gear and supplies globally to countries outside the U.S. This has proven to be a growing area of expansion for some government organizations.

Many of the essential specialty gear vendors and suppliers to these organizations have origins in the direct-to-consumer or retail business environment. But, supplying the government with specialty outdoor gear has become an attractive market segment for these vendors and providers. They've found that some government organizations value the sense of teaming these providers offer. Providers often extend their technology solutions for use by the government, such as CRM, communication systems, or logistics tracking systems. Like the government, tracking users, purchasing locations and demographics, trends, and volume projections is critical to efficient operations and meeting customer demands.

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Vibrant (Our Company) Overview

Vibrant was formed in 1987 by two students at Boston University in the U.S. One student's father owned a large chain of camping stores and commissioned the pair to develop a Customer Relationship Management (CRM) system that was scalable by store and flexible by country as the camping stores extended their global reach. The system became the *de facto* standard for in-store CRM systems in Europe, Singapore, and Malaysia, with over 500 implementation sites across 12 countries. The U.S. customer base also grew significantly, in part, as the company successfully entered the government market with its CRM and CRM-related services.

Vibrant just opened an Asia-Pacific office in Singapore, staffed by Asian-born, Western-educated professionals.

Asked about the CRM market for international specialty gear, equipment, and apparel companies, Ms. Ginny Wilson, Vibrant's CEO, said, "Generic CRM systems might seem inexpensive, but when you factor the cost of scaling by industry, country, government, and culture, the costs mount. Our system is a lot easier to implement because it has been built around customers needing specialized equipment, gear, apparel, and related products; and it can handle different business needs, government specialty products, and processes at multiple sites."

Mark Gibson, V.P. of Operations at Vibrant, noted: "Before we designed the system, we reviewed every available platform. We have won *Computing Magazine*'s 'Most Stable Application' for the past 5 years, and in 200 million transactions our clients haven't traced a single problem to Vibrant's design or software.

"Our service is a delight to our private and public sector clients, as well as our current employees. We train our clients' staff extensively with hard and soft skills, enabling them to make changes and corrections at the operating level that will be right for them—and ultimately right for Vibrant. Most new hires at Vibrant are by employee reference. We average 200 applications for each open position, often including competitors' staff. There was even press coverage about that. CNN ran a human-interest story: 'Vibrant Makes the Rest Look Pale.'"

In a CRM industry dominated by giants boasting thousands of employees, multiple service centers, sophisticated business systems, and hundreds to thousands of diverse clients, Vibrant is more of a niche company focused on being customer responsive. Leadership is building the company differently:

- Vibrant seldom recruits. They do not need to. They can be extremely selective, accepting applicants only from the preeminent universities, services, and IT companies.
- Vibrant has account executives and project leaders with significant tenure. While seemingly odd in an industry known for frequent turnover, every project manager becomes an owner of Vibrant stock purchased based on a combination of the specific earnings, revenues, and revenue growth of their assigned account(s) and vested over time. A large account (i.e. government agency) would be the responsibility of a single account executive and/or project leader. Smaller accounts might share an account executive and project leader. Entrepreneurial account

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executives are well-compensated based on industry standards. While most Technology service executives "look the part," Vibrant's leaders appear to be a cross between a C-level executive and senior partner from a world-class consultancy.

- Vibrant account executives usually reside at or near the client's site. If managing more than one account, the accounts must be geographically close. If not, Vibrant declines to bid on that opportunity.
- Vibrant has rarely lost an account due to performance failure, unheard of in their industry. Most CRM-related companies have transition failure rates of 23% or more. In fact, Vibrant declines to work with more potential public and private sector clients than they accept due to implementation risks.
- Vibrant has several government organizations as clients, at various levels of government. These organizations often require citizen or personnel tracking systems and complex supply chain management. They often compete with private industry or other agencies for workload.
- Vibrant works with a number of carefully mentored and monitored support partners, a best practice taken from Apple. Support partners are highly trained and work from detailed, comprehensive scripts prepared by Vibrant. Unlike competitors who are measured by the speed of dealing with customer service issues, the focus is on solving client issues. Callers are often surprised when the Vibrant customer service representative calls back on their own initiative to verify that the caller is 100-percent satisfied.
- Vibrant designs their software, but coding is completed by a single, trusted partner in India. Thus, they avoid high *Silicon Valley* costs, but retain the functional design integrity.
- The hallmark of Vibrant account executives and project leaders is collaboration. Most are so intimately integrated that client organizations sometimes forget that they are not direct employees.
- To avoid delays, leadership empowers account executives with authority and responsibility. Account executives and project leaders have defined levels of purchasing authority, control over employment decisions, and control over partners. While an account executive can draw on a small headquarters' cadre of advisors, including Wilson and Gibson directly, they rarely need to request approval for their actions.

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Opportunity Overview

Because of your personal interests and role selling Vibrant CRM solutions to major accounts, you recently attended the *International Outdoor Supplier Show* held in Salt Lake City, UT. The Vibrant marketing team began exhibiting at this show three years ago to target their CRM solution to large outdoor retailers and government organizations requiring specialty equipment, gear, and apparel.

At this year's show, you were a panelist for a breakout session that focused on "Voice of the Customer"—much of the focus of this panel session was on how to leverage a CRM system to improve organizational efficiency. After your breakout session, **Ms. Jenna Vision**, the new Division Director at the Essential Specialty Gear (ESG), a FEMA Commission, headquartered in Park City, Utah, approached you with some questions about applying CRM systems within a government environment. You talked and exchanged contact information. She hinted at a potential need to explore CRM options at her organization. She mentioned the need for her group to accelerate technology applications, including a CRM system, to better respond to various city, state, and federal emergency sites during natural disasters. She was quick to remind you that she was new in her senior role at the Commission.

The week following the trade show, you looked up Ms. Vision on LinkedIn and sent a "connect" request. Ms. Vision accepted the invitation the next day.

Back at your office in California, you asked your marketing Research Associate to do research on ESG. You wanted to know the primary mission of the organization; size; locations of any field offices; the types of equipment, apparel and gear they had acquired; recent press releases; current contracts of record; and key personnel listed on their website pages. You also asked for information about their parent agency or other relevant information. You asked for this to be provided within one week.

Your goal was to learn about ESG and begin developing a plan for meeting with Ms. Vision or her team to discuss potential CRM-related needs within her stewardship. You also began to think this might have broader potential within a larger agency organization.

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PART 2

Customer Overview

Essential Specialty Gear, a FEMA Commission

The Essential Specialty Gear (ESG) Commission started as a commission of the Federal Emergency Management Agency (FEMA) in 1964 and has remained in place since then due to the high demand for these products and services throughout the U.S. and globally. The primary objective was to focus on providing rapid response equipment and supply essentials necessary to support field offices and personnel primarily during natural disasters, health crises, or emergency circumstances of any kind. That objective remains in place today and has expanded to a broader scope.

Government organizations at local, state, city, federal, and even international levels have trusted ESG for rapid, timely responses to specialty equipment, apparel, gear, and expert advice since 1964. With headquarters in Park City, Utah, the Commission has grown from a five-person operation to a diverse organization serving over 240 government entities. ESG employs nearly 250 people at headquarters and more than 1400 people in field locations, swelling to more than 2000 people during peak times when several needs arise simultaneously (emergencies, natural disasters) and the Commission needs to quickly and efficiently hire specialized contractors to augment its teams.

Ms. Jenna Vision is the new *Division Director* of ESG. The previous Division Director served in this role for 21 years and recently was asked to step down; he retired. Ms. Vision previously worked as a *Senior Executive case worker* within FEMA and has gained a reputation for being innovative and decisive in her leadership and management approach.

International Operations. As the Commission expanded its reputation for providing high quality equipment and gear in the U.S., more and more international requests came as demand surged. Because of this, ESG has received a special charter from FEMA to support international requests. This surge has begun to strain various operations and systems.

Now, ESG provides specialty equipment and gear to 14 countries, plus several local government agencies within those countries. Though this international expansion is important to ESG, the priority mission of the Commission remains the U.S. and its territories. Ms. Vision has been asked by leadership to assess the current state and future growth potential of international support ESG can provide. She has been given authority by FEMA to create an initial plan, including necessary costs, IT requirements for tracking specialty equipment and vendors, and a schedule for expanding international operations as part of the Commission's vision for the future.

Acquisition Process. Like most government agencies or commissions, ESG operates from an appropriated budget, allocated each year under the direction of FEMA. The budget amount has increased annually at a rate of about 5.4% over the past 7 years. There is also a contingency budget allocation in place each year which adds a potential of 25% to the approved budget.

ESG has authority to leverage government-wide contracting vehicles to secure essential equipment, gear, and apparel to support anticipated domestic and global needs. However, because of the

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unpredictability and urgency of needs, ESG can prepare and release rapid solicitations such as task order requests to pre-qualified vendors and suppliers for essential products, gear, and services. In the past 3 years, ESG has put out more than 135 competitive solicitations for various products to a multitude of vendors. The current legacy system for tracking and projecting all acquisitions has been in place for many years with only small improvements being made over the years. These acquisitions range from $50,000 to over $7,000,000, multi-year contracts. Some basic commodity-type products can be acquired through streamlined government auction platforms. This is not a high priority for the agency unless the government expands this platform to include acquisition of more essential supplies and gear.

Current Technology. Like many government organizations, ESG's technology used today has evolved over the years and originated from outdated legacy platforms.

ESG has worked with several IT services organizations. These include systems companies, mobile technology firms, hardware and IT services, and recently cloud-based solution companies. Because many end users of specialty gear and supplies are field locations, healthcare workers, and first responder personnel, much of the recent technology focus has been in that space. Beginning by outsourcing payroll more than 14 years ago, they then added an integrated inventory management system 11 years ago. That system was folded into an enterprise management system approximately 7 years ago.

To increase visibility into response time to the field, end-user satisfaction, and to better project supply needs and usage, ESG developed a "homegrown" CRM-type that has been upgraded as end-user needs arise and demands accelerate. This system operated independently of FEMA's other systems which are also internally developed systems.

There is a significant sense of "pride of authorship" with the ESG IT team responsible for the original CRM-type system development. This team also takes pride in helping ESG serve its constituents domestically and internationally, especially with the CRM system in place.

There has been talk for several years at FEMA about *technology transformation.* The need for systems to communicate with the very best interoperability platforms (ability of agency, first responder, and local emergency systems to cross-communicate) has become a necessity. Various committees and groups have formed to discuss specific aspects of technology and perform needs analysis for the different sub-agencies and commission. Because of the career experience of the recently hired regional field director in Oklahoma, there is increased awareness of the value a CRM system adds to streamline ordering, tracking, and delivery of specialty items. These discussions are ongoing. The IT management within ESG is nervous about change—they have a stable staff and are leery of IT changes and implementations.

Technology and Performance Vision. While the first priority of ESG is to save lives—provide surge support and essential equipment and gear to the field and to global partners—upgrading performance and efficiency is a mandate passed down from federal leadership. There is also significant clamor from various states for improved service and upgrade technology.

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Ms. Vision has been tasked with assessing, evaluating, and making recommendations in a few specific technology areas of ESG:

- **Vendor and supplier management**—There seems to be an expansive number of vendors and suppliers, many dating back to original agreements from over 12 years ago. Vendor and logistics management controls and performance need to be evaluated and improved. The commission wonders if they are still receiving best value from suppliers.
- **End-user information**—User information must include improving the ability to estimate and project demand for equipment and supplies; order and delivery tracking, understanding, and monitoring needs of state, local, federal, and international buyer groups; ensuring data integrity; monitoring usage of specialty items; and publishing real-time availability of products and gear available to ESG end users (the Commission's customers). Database(s) accuracy, usability, and tracking need to be carefully examined and current to meet ongoing and changing demands.
- **Innovation and Creativity** – Several committees have discussed ways FEMA and its commissions and divisions can innovate to improve, upgrade, and become current in IT and systems applications and tools. This is one reason Ms. Vision was brought to the commission; based on her reputation for having innovative ideas.
- **Implementation and Transition**—It is crucial to know the timeline, risks, efficiency gains, and transition concerns if ESG engaged in a technology transformation to meet future demands for gear, apparel, and supplies. The commission had a failed system implementation three years ago which still haunts many employees.

Ms. Vision has been encouraged to explore technology options by attending various industry events and trade shows to learn more about IT services and potential partners. The agency is looking for innovation and creativity in a CRM and any other technology improvement within ESG.

She envisions serving her constituents much like an outdoor enthusiast needing supplies for adventures and emergency response. She wants ESG to operate efficiently and with focus on the end user at both the vendor and supply chain side of the organization. She also envisions the possibility of leveraging cloud-based solutions to move the Commission into a more nimble and responsive organization. The agency is projecting a consistent 8–10 percent escalation of needed products and services, annually.

Vendors. FEMA and its many sub-agencies and commissions have contracted with many technology vendors and suppliers. Many are identified through GSA and other purchasing sites within the government. New IT vendors are rarely awarded contracts without some type of government credentials, relevant past performance, certifications, or qualification. However, on occasion, new vendors can demonstrate best value. FEMA or its organizations become their entry-point into government work.

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Vendors range from office supply companies to IT services and sophisticated emergency and first responder equipment and services. A variety of suppliers have become trusted partners and help the agency promote its mission, vision, and goals.

Ms. Vision sought input from her senior staff, internal experts, and colleagues in the specialty supply, apparel, and equipment industries regarding updated systems to support her objectives. Here are some of their observations:

Gert Johansson, ESG Commission IT Manager: *I agree that adding features is difficult in our legacy systems, but we have retained those systems because of tight budgets and the sense that "it is adequate." In addition, whenever we've made the requested changes in the coding or program, our commission and field personnel have to be retrained and we lose productivity and create confusion. However, no vendor system can match the internal understanding of our Commission's systems and our commitment to ESG's serving the public interests. We have started to make progress on upgrading a module specific to our commission. I'm concerned about transitioning to new systems based on our implementation failure a few years ago.*

Ms. Charlene Webb, ESG Deputy Director: *Two aspects of a CRM are paramount. First, the simpler and cleaner the web interface, the shorter the response time, greater the likelihood of meeting public demands, and less need for follow-up end user assistance. Our personnel and field teams want clean, streamlined user interface and support. We must be seen as tech-savvy, up-to-date, and automated. Second, the more accurate and complete the information available to each field office associate, the more likely we are to retain them as employees. Prompts such as "You might also consider ordering..." or "Other field offices also acquired..." will help us drive better support and improve the Commission's reputation. Adding each new feature into our legacy system always seems to be more complicated than envisioned.*

Ms. Irma Sage, ESG Commission Human Resources & Training Manager: *Our greatest issues are field response team member turnover and training. In North America, we have slightly high turnover, but in other markets, we also must cope with language, unfamiliarity with specialized essential items unique to that culture, and varied acquisition and implementation practices. Our field and vendor support system needs to be easy to use and intuitive. However, now is not a good time for us to lose legacy key personnel and talent and know-how given the current demands on our support and services to employees. On a positive note, we may be able to attract a more technology savvy workforce with more current systems, assuming they work.*

Mr. Max Williams, ESG Commission Financial Director: *Our budget allocation is always linked to FEMA; so, being on budget, visible, and successful in supporting public demands is critical. I work closely with other agencies and governors; demonstrating fiscal responsibility is a big deal to them. If I've learned anything from our prior systems' implementations in other divisions, we must do everything possible to assure flawless implementation and transition. This includes better forecasting and projections, improved response time and innovative ways to support our field teams and global partners. Agencies see tremendous opportunity in leveraging technology, including cloud-based solutions, to perform our*

responsibilities. However, we can't break the bank on a CRM-type system or any other application. We must be seamless in transition and show performance improvement based on what we allocate and spend for upgrades or a new system.

Ms. Vicki Valentine, ESG Commission Outreach Manager: *We can't ignore changing realities. Many of our stakeholders and citizens depend on us for fast, reliable response to their equipment, personnel, and specialty item needs. Our goal must not be to just react. We need to be innovative and proactive at reaching out to communities, states, and other federal agencies to promote the value of our Commission. This requires a much more aggressive outreach into the markets we serve and frequent outreach much like private sector companies do with their marketing campaigns. We must also be innovative in how we attract, screen, qualify, and engage the best vendors and suppliers in the world. This requires a system that tracks and monitors vendor inventory and order fulfillment performance. We must increase our visibility and begin outreach campaigns to meet our objectives.*

Fred Wilcox, ESG Manager of Vendor Performance: *Having worked with vendors and suppliers to government for over 20 years, I understand the importance of careful tracking and monitoring. Sadly, many suppliers or vendors relax their performance and contact with us once they've "made the sale." A CRM system that aligns with the way we procure and track our vendors' business and performance would be a tremendous boost to our Commission performance. However, not all vendors are on the same purchasing vehicles, so adaptability and an ability to tailor a CRM system are must-have features. Unfortunately, I'm not 100 percent confident that our IT personnel can make necessary adaptations.*

Former FEMA Peer: *Whomever you select as a technology partner that includes a CRM-type solution, they should demonstrate understanding of your vision, issues, systems, and leadership team. They must be willing to collaborate with your teams. You cannot afford a "do over." Also, it's unlikely that an "out-of-the-box" solution will work within FEMA or your Commission. And, as you know, we need to stay within budget or have a real business case for seeking additional funding. FEMA always looks for best value in partners.*

Technology Service Industry Executive, not in public sector: *While price is a consideration, a solid product that meets your needs around the clock and around the world is more important. Make sure it is scalable overall as needs for your essential equipment and supplies expand by geography, are adaptable to various cultures, and flexible to align with advances in technology. When new versions are released, you want simple, easy transition to the newest versions. Be sure to have necessary support systems in place and make sure a vendor has exceptional customer support, including potential onsite support—make sure they can validate transition success.*

CRM Consultant: *Don't shop for the lowest price or the highest number of features. My experience suggests that any feature that one vendor offers is rapidly emulated by the other vendors. Instead, focus on transition aspects (planning, scheduling, data conversion, project management, trial runs, cutover approach); project management issues are huge (transition team, committee structures, reporting relationships, access, transparency); ongoing support (team structure, positional authority versus responsibility, location, cultures); and exactly who is committed to your support. People are the key. The*

right people aligned with your team can make anything work. Do not trust anyone who says: "Trust us—we have the best people in the industry."

Stephen Wagner, Government Technology Consultant: *A CRM system that supports your plans and objectives would need to be flexible and tailorable to adapt to the Commission's complex acquisition process. Ideally, a CRM system would link to other systems and program tracking processes that can provide early visibility into adjacent government projects that might provide you with innovative or continuous improvement ideas.*

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PART 3

Call Notes

After research and review of information about Essential Specialty Gear (ESG) Commission, you called and emailed Ms. Vision requesting a discovery meeting. You reminded her about their discussion at the International Outdoor Supplier Show in Salt Lake City, Utah a few weeks ago.

The following are your contact notes, recorded in your opportunity tracking system for the ESG Commission pursuit. Based on the Commission's mission and objectives (as demonstrated in research), you placed a $3.5M value (per year) on this pursuit with an initial probability of winning (Pwin) of 15%. You noted that there is significant adjacent potential within the broader government agency and that it was early in the pursuit.

Entries into Pipeline and Opportunity Log

Opportunity: Essential Specialty Gear (ESG) Commission **Value:** $3.5M **PWin:** 15%

10 Apr	Attended International Outdoor Supplier trade show in SLC; participated in panel discussion; met several public and private sector clients and some current clients
14 Apr	Requested standard marketing research on ESG from marketing department
3 May	Sent email request for discovery meeting to **Jenna Vision**, new Division Director of Commission
13 May	Called Jenna's mobile phone and left VM about possibility of meeting soon to discuss IT needs; asked if there was another contact person I should call, knowing how busy she is and her heavy travel schedule
17 May	Received email from Ms. Vision suggesting I contact her deputy, **Charlene Webb**, Deputy Director at 435.776.7787 or cwebb@esgc.gov
21 May	Looked up Charlene Webb on LinkedIn—like Vision, former employee at FEMA
21 May	Left VM and sent email to Charlene Webb saying that Jenna referred me to her; asking for potential meeting dates/times to discuss future IT and CRM, etc.
27 May	Email msg from Charlene Webb saying she'll call me after 4th of July holiday; swamped with summer emergency responses and orders
08 Jun	Sent Charlene follow-up email
05 Jul	Charlene called—spent about 15 minutes on phone Call notes: ESG has been reviewing IT needs, including a CRM option since before Jenna Vision was promoted; internal system somewhat lacking in many ways; lots of "old-timer" legacy government mentality
07 Jul	Met in Park City, Utah, at ESG Commission main office (Meeting notes and attendees)— Outcome, likely future solicitation for qualified bidders; ESG IT Manager, **Gert Johansson**, involved heavily; committees forming. Gert will be a key player in CRM and systems exploration.

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09 Jul	Article in *USA Today* about importance of government's response time for outdoor specialty items for first responders and regional emergency response teams. Mentioned how foreign governments leverage U.S. agency response processes and tools.
27 Jul	Quick online, virtual demo of Vibrant system to two of ESG Commission's Regional Logistics Managers (Georgia and Oregon) and Gert, ESG IT Manager
28 Jul	Gert provided positive feedback from demo; Gert volunteered that ESG's HR Management System (HRMS) was a derivative of a company called OMEGA (we often compete with OMEGA on CRM opportunities in private and public sectors). She said there are mixed feelings inside the Commission and FEMA about OMEGA's platform and service quality.
12 Aug	Charlene said no further action yet; summer months are very busy for them.
26 Aug	Charlene hinted that Jenna Vision, new Division Director, probably is going to want a formal competition to consider replacing or enhancing legacy ESG CRM and adjacent systems with something else. Cost is secondary to Vision—her vision is be innovative with current technology to support field offices. Said they need much better logistics and materials tracking for all the essential specialty items and apparel.
27 Aug	Emailed two case studies of successful public sector CRM implementations to Charlene Webb and Jenna Vision
27 Aug	Called Gert to touch base. She was not very open to discussion and said she had no further insight.
28 Aug	Vibrant won a competitive CRM implementation project with the U.S. Forest Service; sent link of press release to Jenna and Charlene

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